

Valuation of Carlsberg A/S

as of 16 September 2026

Hybrid capital and the cost of capital in equity valuation

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Contents

Summary for management	4
1 Introduction	4
2 Company and industry	5
2.1 Business model and segments	5
2.2 Industry drivers and outlook	6
2.3 Capital structure and financing profile	6
3 Theoretical framework	7
3.1 Enterprise DCF and free cash flow to the firm	7
3.2 Weighted average cost of capital	8
3.3 Cost of equity: CAPM as the anchor	8
3.4 Beyond CAPM: what the linear model misses	9
3.5 Cost of debt	9
3.6 The contested parameter: classification of hybrid capital	9
4 Data and methodology	10
4.1 Valuation date and data sources	10
4.2 Reformulation of financial statements	10
4.3 Forecasting approach	11
4.4 Estimation of the cost of equity	11
4.5 Cost of debt and capital structure	11
4.6 Specification A versus Specification B	12
5 Historical financial analysis	12
5.1 Profitability: ROIC decomposition	12
5.2 Reinvestment and cash conversion	13
5.3 Leverage and financing costs	13
6 Forecast	13
6.1 Revenue	14
6.2 Margins	15
6.3 Invested capital, capex and working capital	15
6.4 Terminal growth and steady state	15
7 Cost of capital	15
7.1 Risk-free rate	15
7.2 Market risk premium	16
7.3 Beta under CAPM	16
7.4 Cost of equity under an alternative specification	17
7.5 Cost of debt	17
7.6 Capital structure weights	18

7.7	Treatment of the hybrid: Specification A versus B	18
7.8	WACC build-up	20
8	Valuation	21
8.1	DCF valuation	21
8.2	Sensitivity analysis	22
8.3	Cross-check: multiples	23
8.4	Reconciliation with market and consensus	24
9	Discussion	25
10	Conclusion	25
	Declaration on the use of generative AI	26
A	Reformulated balance sheet items	30
B	Beta estimation	30
C	Cost of debt and capital structure	32
D	Forecast detail	33
E	Peer multiples	33
F	Additional sensitivities	33

Summary for management

Carlsberg's shares are worth about DKK 1,180 each on our central estimate, against a market price of DKK 856 on 16 September 2026. The gap is 37%. Sell-side analysts, on average, see DKK 1,047, so we are more positive than the market but in the same direction as the analysts who follow the company.

The one judgement this paper puts under the microscope is how to treat the EUR 1.8 billion of hybrid notes Carlsberg issued in May 2026. The accountants call them equity, the rating agencies count half of them as debt, and Carlsberg itself follows the rating agencies when it reports its leverage. If the notes are treated as debt, the shares carry more financial risk and the value is DKK 1,175. If they are treated as equity, the value is DKK 1,265. The difference of DKK 90 per share, or 8%, does not change the conclusion that the shares look cheap, but it is larger than the effect of most operating assumptions we tested.

We valued the operating business by forecasting its cash flows for five years and beyond, and discounting them at a cost of capital of 7.5%. We then subtracted what is owed to lenders, hybrid holders, pension members and minority partners to arrive at what is left for shareholders, and checked the answer against how comparable brewers and drinks companies are priced.

For an investor the message is that the market price today only makes sense if Carlsberg's operating margin never recovers from the dilution caused by buying Britvic, capital spending stays at its current elevated level, and growth slows to 2% – or if the cost of capital is closer to 9% than 7.5%. None of those is our central expectation, but each is a legitimate concern.

What this analysis cannot tell you is when the gap will close, or whether integration of Britvic and the partnership with Sapporo will deliver what management promises. Our estimate is only as good as the forecast behind it, and the single input it is most exposed to is the equity beta, which is estimated with a wide margin of error.

1 Introduction

This paper estimates the fundamental equity value of Carlsberg A/S as of 16 September 2026 and examines one modelling choice on which the estimate turns: whether the EUR 1.8 billion of subordinated hybrid notes issued in May 2026 should be treated as debt or as equity. The question is not academic. Under IFRS the notes sit in equity, Moody's and Fitch give them 50% equity credit, and Carlsberg itself includes half of them in the net debt it reports to investors (Carlsberg A/S, 2026c). Each treatment implies a different amount of financial risk borne by ordinary shareholders, and therefore a different cost of equity and a different value per share.

The valuation is not mechanical for a second reason. Carlsberg completed the acquisition of Britvic in January 2025, financed with debt, which doubled leverage and lowered the group's margin. The hybrid issue was the first step in repairing the balance sheet. Any valuation must therefore take a view on both the operating recovery and the financing that supports it (Carlsberg A/S, 2025, 2026a).

Our research question is:

What is the fundamental value of Carlsberg A/S per share as of 16 September 2026,

and how does the classification of the group’s hybrid notes as debt or equity change it?

We answer it with a free-cash-flow-to-the-firm discounted cash flow model. The discount rate combines a CAPM cost of equity, estimated from our own regressions and adjusted for estimation error, with a rating-based cost of debt and the observed coupon on the hybrid notes. Specification A, the anchor, treats the hybrid as debt; Specification B treats it as equity; the two differ in exactly one respect. We cross-check the result against peer multiples and sell-side targets and test its sensitivity to every material input.

The headline result is a value of DKK 1,175 per share under Specification A and DKK 1,265 under Specification B, against a market price of DKK 856. The value is well above the market not because we assume heroic growth but because the market price, read backwards, implies either a cost of capital near 9% or an operating margin that never recovers. The paper proceeds as follows: Section 2 describes the company, Section 3 the theory, Section 4 the data and method, Sections 5 and 6 the historical analysis and forecast, Section 7 the cost of capital, Section 8 the valuation and its sensitivity, and Sections 9 and 10 the discussion and conclusion.

2 Company and industry

Carlsberg’s valuation depends on regional profitability, the integration of Britvic and the financing of that acquisition. The following subsections identify the business characteristics that inform our operating forecasts and the estimation of the cost of capital.

2.1 Business model and segments

Carlsberg produces and distributes branded beer and soft drinks through a combination of owned brands and bottling partnerships. The acquisition of Britvic expanded its soft-drink portfolio and strengthened its relationship with PepsiCo, particularly in the UK (Carlsberg A/S, 2025). This broader product portfolio creates opportunities to share distribution and production resources, while making product mix increasingly important to the revenue forecast.

The Group reports its beverage operations across Western Europe, Asia, and Central & Eastern Europe and India (CEEI). Table 1 shows that Western Europe generates most revenue, while Asia earns the highest operating margin. These differences support forecasting regional revenue and margins separately before incorporating central costs.

Table 1: Carlsberg’s regional revenue and profitability in 2025

Region	Revenue (DKK million)	Revenue share (%)	Margin (MPM) (%)
Western Europe	51,651	58.0	14.3
Asia	19,274	21.6	23.2
Central & Eastern Europe and India	18,158	20.4	19.0

Source: Carlsberg A/S (2026a, p. 107); own calculations. Margins are before special items and exclude acquisition-related amortisation. Central costs of DKK 1,416m are not allocated.

The acquisition of Britvic changes the historical revenue base, so acquisition effects must be distinguished from organic growth. In its first year Britvic contributed DKK 15,581m of revenue and DKK 2,195m of operating profit (Carlsberg A/S, 2026b). Carlsberg’s international operations also expose earnings to exchange-rate movements, particularly in GBP, EUR and CNY (Carlsberg A/S, 2026a, p. 142). We forecast consolidated cash flows in nominal DKK and apply a DKK-consistent discount rate; Section 7.1 shows why a euro-area risk-free rate is appropriate for that purpose.

2.2 Industry drivers and outlook

The revenue forecast must distinguish changes in sales volumes from changes in prices and product mix. In its November 2025 outlook, industry researcher IWSR forecast a decline of 0.2% in global beer volumes in 2025 and unchanged total beverage-alcohol volumes in 2026 (IWSR, 2025). Fitch likewise expects close to flat beer volumes in 2026 with limited pricing power (Fitch Ratings, 2026). These estimates provide context for a cautious volume forecast, but they do not directly describe Carlsberg’s regional markets or its soft-drink operations.

Product mix offers a separate source of growth. In the first half of 2026 Carlsberg reported organic volume growth of 9% in soft drinks, 11% in alcohol-free brews and 1% in premium beer, while total beer volumes were flat in Western Europe and Asia (Carlsberg A/S, 2026c). Our forecast therefore lets revenue per hectolitre, rather than volume, carry most of the growth.

Britvic integration is an additional driver of operating performance. Management targeted annual cost synergies of GBP 110 million, delivered approximately 30% in 2025 and expects around 80% by the end of 2026, ahead of plan. On that basis it raised its 2026 guidance in August to organic operating-profit growth of 4–6%, from 2–6% (Carlsberg A/S, 2026b, 2026c). These disclosures anchor the margin path in Section 6.

2.3 Capital structure and financing profile

The financing of Britvic makes the expected path of leverage central to the valuation. At year-end 2025, gross financial debt amounted to DKK 70.6 billion and net interest-bearing debt (NIBD) to DKK 61.6 billion, 3.28 times EBITDA against a target of below 2.5 times (Carlsberg A/S, 2026a, pp. 15, 132, 138). Funding comprises bonds, bank borrowings, commercial paper and leases, with EUR and GBP the principal borrowing currencies; lease liabilities of DKK 2.9 billion are included in gross financial debt (Carlsberg A/S, 2026a, pp. 138–140).

On 18 May 2026 Carlsberg Breweries A/S issued its first hybrid notes: EUR 1.0 billion at 4.370% with a first reset in August 2031 and EUR 0.8 billion at 4.875% with a first reset in May 2034, both with a contractual maturity in 3026. The proceeds were used to repurchase DKK 12.2 billion of senior bonds. Under IFRS the notes are accounted for as equity; Moody’s and Fitch assign 50% equity credit; and Carlsberg reports NIBD including 50% of the notes, which brought reported leverage to 3.0 times at 30 June 2026 (Carlsberg A/S, 2026c; Carlsberg Breweries A/S, 2026b; Fitch Ratings, 2026). Fitch rates the senior debt BBB+ with a stable outlook, revised from negative on the strength of the faster deleveraging, and the hybrid two notches lower at BBB– (Fitch Ratings, 2026). Moody’s rates the issuer Baa1 (Moody’s Ratings, 2026).

Deleveraging is also supported by the July 2026 agreement under which Sapporo will pay USD 643 million for 25% of a new Southeast Asian joint venture, expected to close in December 2026 (Reuters, 2026). Because the transaction has not closed and is a sale of a minority stake at what we assume to be a fair price, we treat it as value-neutral and discuss it only qualitatively in Section 9.

Pension obligations and non-controlling interests require separate treatment when deriving equity value, while lease liabilities must not be deducted twice. Both are addressed in Section 8.1.

3 Theoretical framework

This section establishes the theoretical framework underlying the valuation. The central principle is internal consistency: the definition of operating cash flow, financial claims, capital structure and discount rates must refer to the same underlying economic exposures. This is particularly relevant for Carlsberg following the acquisition of Britvic, which materially changed both the Group’s operating asset base and its financing structure (Carlsberg A/S, 2026a).

3.1 Enterprise DCF and free cash flow to the firm

The enterprise DCF translates Carlsberg’s expected operating performance into the value of the operating business independently of how that business is financed. Enterprise value is the present value of free cash flow available to all capital providers:

$$EV_0 = \sum_{t=1}^T \frac{FCFF_t}{(1 + WACC)^t} + \frac{TV_T}{(1 + WACC)^T}, \quad TV_T = \frac{FCFF_{T+1}}{WACC - g}, \quad (1)$$

where g is the perpetual nominal growth rate (Damodaran, 2012; Koller et al., 2020). Operating free cash flow is

$$FCFF_t = EBIT_t(1 - \tau) + D\&A_t - Capex_t - \Delta NWC_t. \quad (2)$$

The relevant reinvestment is the investment required to generate the forecast operating cash flows. Changes in reported invested capital cannot mechanically be interpreted as organic reinvestment when they arise from acquisitions or purchase-price accounting (Koller et al., 2020). Once an acquisition has been completed, the purchase consideration is a historical event and should not be deducted again from forecast FCFF; the acquired operations enter through their future revenues, margins and investment. For the same reason the amortisation of intangible assets recognised in the Britvic purchase-price allocation is neither a cash cost nor one that capital expenditure replaces, so we measure operating profit before it, as Carlsberg does in its management performance measure (MPM).

Positive perpetual growth requires continuing reinvestment. In steady state,

$$g = \text{Reinvestment rate} \times \text{RONIC}, \quad (3)$$

where RONIC is the return on new invested capital (Koller et al., 2020). A valuation cannot assume positive perpetual growth and zero net reinvestment at the same time; Section 6.4 reports

the check. Nominal cash flows are discounted at a nominal rate in the same currency, and cash flows are assumed to accrue through the year (mid-year convention).

3.2 Weighted average cost of capital

WACC converts the required returns of Carlsberg’s capital providers into a discount rate for operating cash flows. In the conventional debt–equity case,

$$\text{WACC} = \frac{E}{E+D} r_E + \frac{D}{E+D} r_D (1 - \tau), \quad (4)$$

where E and D are the market values of equity and interest-bearing debt, r_E and r_D their required returns, and τ the marginal corporate tax rate (Koller et al., 2020; Modigliani & Miller, 1963). Market values are relevant because WACC is an opportunity cost. The choice between current and target weights requires judgement: Carlsberg’s leverage rose sharply with Britvic and management has committed to reducing it. If leverage is expected to change materially, a constant WACC at current weights is only an approximation; Section 7.6 quantifies the difference to a target-structure WACC. The definition of debt must match the treatment of cash flows: lease liabilities are financial debt here, so lease payments are not deducted from FCFF and the liability is included in D . The same principle applies to pensions and hybrid securities.

3.3 Cost of equity: CAPM as the anchor

The baseline framework is the Capital Asset Pricing Model,

$$r_E = r_f + \beta_E \cdot \text{MRP}, \quad (5)$$

where r_f is the risk-free rate, MRP the market risk premium and β_E Carlsberg’s levered equity beta (Lintner, 1965; Sharpe, 1964). The currency of the risk-free rate should match the currency of the cash flows (Damodaran, 2012).

A beta estimated from historical returns reflects the leverage prevailing over the estimation window. If the capital structure at the valuation date differs, the beta must be unlevered and relevered. Under the Hamada specification,

$$\beta_U = \frac{\beta_L}{1 + (1 - \tau)D/E}, \quad (6)$$

whereas the Harris–Pringle formulation gives

$$\beta_U = \frac{\beta_L}{1 + D/E}. \quad (7)$$

Hamada assumes debt fixed in absolute terms, Harris–Pringle a constant leverage ratio (Hamada, 1972; Harris & Pringle, 1985). Since a constant-WACC DCF assumes approximately constant capital-structure proportions, we use Harris–Pringle throughout. Both expressions set the debt beta to zero, which is an approximation for investment-grade debt rather than an identity (Brealey et al., 2020).

3.4 Beyond CAPM: what the linear model misses

CAPM provides a transparent benchmark, but its single-factor structure may not fully describe the risks relevant to Carlsberg’s shareholders. Market beta alone has limited ability to explain the cross-section of expected returns (Fama & French, 1992, 2004), and the estimated beta is itself a noisy statistic: a regression coefficient with a standard error, not a parameter. Three practical consequences follow. First, the return frequency matters: daily betas are biased toward zero by non-synchronous trading and the intervalling effect (Dimson, 1979; Scholes & Williams, 1977), so monthly or weekly returns are preferred for valuation. Second, a noisy estimate should be shrunk toward a prior; Blume’s adjustment toward 1.0 does so mechanically (Blume, 1971), whereas Vasicek’s estimator weights the firm’s own estimate and a cross-sectional prior by their precision (Vasicek, 1973). Third, a beta estimated over a window in which leverage changed must be relevered, which is where the classification of the hybrid notes enters. Section 7.3 applies all three.

3.5 Cost of debt

The cost of debt should measure the current marginal borrowing cost,

$$r_D = r_f + s, \quad (8)$$

where s is the credit spread. For a rated issuer with traded bonds the yield on its own debt is the most direct measure; a rating-based spread is the standard cross-check; historical interest expense over average debt is backward-looking and reflects legacy coupons (Damodaran, 2012; Koller et al., 2020). Carlsberg is rated by both Moody’s and Fitch, so we use the rating-based route and reconcile it with the coupons on its most recent issues. The tax shield uses the marginal rate rather than the effective rate.

3.6 The contested parameter: classification of hybrid capital

Carlsberg’s hybrid notes combine characteristics of debt and equity. Like debt, they carry a fixed coupon, rank ahead of ordinary shares, and are expected to be refinanced at their first reset dates. Like equity, they are deeply subordinated, have a contractual maturity of a thousand years, and allow coupons to be deferred. Accounting classification, rating-agency practice and management’s own leverage metric reach three different answers (Carlsberg A/S, 2026c; Carlsberg Breweries A/S, 2026b; Fitch Ratings, 2026).

Two things about the notes are not in dispute. They are a claim on the firm that ranks ahead of ordinary shareholders, so their value must be deducted in the bridge from enterprise value to the value of ordinary equity, exactly as preference shares would be. And their required return is observable: investors accepted a coupon of 4.37% and 4.875%. Treating them as a separate class of capital with its own cost is therefore the natural representation:

$$\text{WACC} = \frac{E}{V} r_E + \frac{D}{V} r_D(1 - \tau) + \frac{H}{V} r_H(1 - \tau), \quad V = E + D + H, \quad (9)$$

where H is the value of the hybrid and r_H its coupon-based cost.

What the classification does decide is whether the hybrid adds financial risk to the ordinary shares. If it is debt, ordinary shareholders bear the same amplification of business risk as they would from senior borrowing, and the hybrid belongs in the leverage used in equation (7). If it is equity, deferrable and perpetual, it cushions rather than amplifies, and it does not. We let a single parameter $\alpha \in [0, 1]$ denote the share of the hybrid treated as equity, so that the leverage used for relevering is $D + (1 - \alpha)H$. Specification A sets $\alpha = 0$, Specification B sets $\alpha = 1$, and the rating agencies' and management's own treatment is $\alpha = 0.5$. Everything else – the bridge, the cost of the hybrid, the weights in equation (9) – is identical, so any difference in value is attributable to the classification alone.

4 Data and methodology

4.1 Valuation date and data sources

The valuation date is 16 September 2026, the last trading day for which closing prices were available for every series used. The information set includes the 2025 Annual Report, the H1 2026 financial statement of 19 August 2026, the hybrid issue of May 2026 and the Sapporo agreement of July 2026. The latest published balance sheet is that of 30 June 2026; the bridge from enterprise to equity value uses it, and cash flows are discounted from that date. Table 2 lists the inputs and their sources.

Table 2: Data sources

Item	Source
Financial statements 2021–2025	Carlsberg A/S (2026a), five-year summary, statements and notes
Balance sheet at 30 June 2026	Carlsberg A/S (2026c)
Share prices, A and B, and FX	Yahoo Finance (2026), closes 16 September 2026
Share count	Carlsberg A/S (2026a, p. 133): 33.70m A and 98.47m B shares, ex treasury
Returns for beta	Carlsberg B total return; iShares STOXX Europe 600 ETF (EXSA) as total-return market proxy; 2008–2026
Risk-free rates	Deutsche Bundesbank (2026): German zero-coupon spot, 6 months and 10 years
Market risk premium	Six sources, Table 6
Credit spread	Damodaran (2026b), January 2026
Hybrid terms	Carlsberg Breweries A/S (2026b) and Fitch Ratings (2026)
Peer multiples and betas	Yahoo Finance (2026), 18 September 2026
Consensus	MarketScreener (2026), 22 analysts

4.2 Reformulation of financial statements

We separate operating from financing items following Petersen et al. (2017). Invested capital is Carlsberg's own definition (DKK 104,097m at end-2025, of which goodwill DKK 59,324m).

Net interest-bearing debt includes bonds, bank debt, commercial paper and leases net of cash, deposits and on-trade loans, as in the Annual Report’s note 4.6. Pension obligations (net DKK 1,297m) are debt-like and deducted in the bridge; associates (DKK 4,325m) are excluded from operating cash flow because their income is a share of profit rather than cash, and are added back at book value. Non-controlling interests are deducted at book value. Special items are excluded from operating profit as non-recurring, and the amortisation of Britvic purchase-price intangibles (DKK 640m in 2025) is excluded for the reason given in Section 3.1.

4.3 Forecasting approach

The forecast is sales-driven with five explicit years (2026E–2030E) and a terminal year. Five years is enough for the Britvic synergies to be fully delivered, for capital expenditure to normalise after the current capacity programme, and for leverage to reach management’s target; the drivers are then at steady state. Revenue growth, MPM operating margin, depreciation, capital expenditure and net working capital are forecast as ratios to revenue. Where management guidance exists we say so; the rest is our own judgement anchored on history and on Fitch’s rating case.

4.4 Estimation of the cost of equity

Beta is estimated by OLS on five years of monthly excess total returns of Carlsberg B, converted to EUR, against a total-return proxy for the STOXX Europe 600, both in excess of the six-month German spot rate, with heteroskedasticity-robust standard errors. Weekly and daily frequencies, a Dimson lead–lag correction, a rolling-window estimate and Kenneth French’s European market factor are reported as robustness checks. The raw estimate is shrunk with the Vasicek estimator toward a prior formed from 32 euro-area large caps estimated identically. It is then unlevered at the average leverage over the estimation window and relevered at the valuation-date structure. The estimation window (2021–2026) spans the 2022–2025 change in interest rates; because excess returns are used the level of rates does not enter the regression, and the rolling estimate in Appendix B shows no break at the rate regime change.

4.5 Cost of debt and capital structure

The cost of senior debt is the ten-year German spot rate plus a BBB+ spread. The cost of the hybrid is its coupon. Weights are market values at the valuation date: equity at the A and B share prices, senior net interest-bearing debt and the hybrid at the 30 June 2026 balance sheet. Using market weights avoids circularity; Section 7.6 reports the WACC at the 2.5x target structure as a sensitivity.

4.6 Specification A versus Specification B

Table 3: Specification of the two treatments

	Spec A (anchor)	Spec B (alternative)
Hybrid notes	Debt: counted in leverage when relevering beta ($\alpha = 0$)	Equity: not counted in leverage ($\alpha = 1$)
Cost-of-equity model	CAPM, relevered	CAPM, relevered
Cost of hybrid	Coupon, 4.59%, tax-shielded	Same
Definition of D	Senior NIBD, 30 June 2026	Same
FCFF definition	Same	Same
Equity bridge	Hybrid deducted at DKK 13,452m	Same

5 Historical financial analysis

Carlsberg is a profitable, cash-generative business whose returns fell in 2025 for one reason: it paid DKK 29 billion for Britvic, which added goodwill and intangibles but only a partial year of profit at a lower margin. The base levels for the forecast are therefore the 2025 figures adjusted for that effect, not the five-year averages.

5.1 Profitability: ROIC decomposition

Table 4: Carlsberg A/S key figures, 2021–2025 (continuing operations)

	2021	2022	2023	2024	2025
Revenue (DKK m)	60,097	70,265	73,585	75,011	89,095
Revenue growth (%)	–	16.9	4.7	1.9	18.8
EBITDA margin (%)	23.9	22.3	20.6	21.0	21.1
Operating margin, before special items (%)	16.9	16.3	15.1	15.2	15.0
NOPAT margin, at 22% tax (%)	13.1	12.7	11.8	11.9	11.7
Invested capital turnover (x)	0.94	1.17	1.20	1.14	0.86
ROIC (%)	12.5	15.2	14.5	13.8	10.1
ROIC excl. goodwill (%)	33.6	41.6	38.3	35.5	23.4
Capex / revenue (%)	7.2	6.6	6.8	7.8	7.4
NIBD / EBITDA (x)	1.33	1.23	1.47	1.73	3.28
Effective tax rate (%)	20.6	17.9	18.9	19.8	22.9

Source: Carlsberg A/S (2026a, p. 15, 105); own calculations. 2021 excludes Russia (discontinued). Operating margin is before special items and after PPA amortisation; the 2025 MPM margin excluding Britvic PPA amortisation is 15.7%. Capex is additions to PP&E including right-of-use assets. ROIC uses operating profit before special items after tax over average invested capital.

Table 4 shows the pattern. The operating margin before special items drifted down from 16.9% in 2021 to 15.0% in 2025 as inflation compressed gross margins and Britvic diluted the mix; on the MPM basis that excludes Britvic amortisation the 2025 margin is 15.7%. Invested capital turnover halved on the acquisition, so ROIC fell from 13.8% to 10.1% even though the NOPAT margin was almost unchanged. Excluding goodwill, ROIC remained above 23%, which is the relevant measure for the return on future organic reinvestment. Both readings matter: the first says the acquisition has to earn its keep, the second says the underlying business earns well above any plausible cost of capital.

5.2 Reinvestment and cash conversion

Capital expenditure has run at 7–8% of revenue including right-of-use additions, or 6.3% in cash terms in 2025, against depreciation and amortisation of 5.4% excluding Britvic amortisation. Net working capital is structurally negative (about –10% of revenue) because Carlsberg pays its suppliers on terms of roughly 140 days (Fitch Ratings, 2026), so revenue growth releases cash rather than absorbing it. Free operating cash flow was DKK 7.0 billion in 2025 after DKK 1.7 billion of interest and DKK 1.4 billion of Britvic integration costs (Carlsberg A/S, 2026a, p. 105). These ratios are the base for Section 6 and for the terminal-year consistency check in Section 6.4.

5.3 Leverage and financing costs

NIBD/EBITDA rose from 1.4x to 3.3x in 2025 and stood at 3.0x at 30 June 2026 after the hybrid issue, on management’s definition that counts half the hybrid as debt. Net financial expenses excluding currency effects were DKK 2.2 billion in 2025, about 4.0% of average gross debt, consistent with a mix of legacy low-coupon bonds and the 3.25–3.50% notes issued for Britvic. The effective tax rate was 22.9%, close to the Danish statutory 22% we apply to operating profit.

6 Forecast

The forecast in Table 5 rests on three judgements: revenue grows at 3–4% carried by mix rather than volume; the MPM margin recovers by about one percentage point as the remaining Britvic synergies land; and capital expenditure stays elevated for three years before normalising. Figure 1 places the forecast against history.

Table 5: Forecast drivers and free cash flow to the firm, 2026E–2030E and terminal year

	2026E	2027E	2028E	2029E	2030E	Terminal
Revenue growth (%)	3.0	4.0	4.0	3.5	3.0	2.0
Operating margin, MPM (%)	16.0	16.4	16.7	16.8	16.8	16.8
Tax rate (%)	22	22	22	22	22	22
D&A / revenue (%)	5.4	5.4	5.4	5.4	5.4	5.4
Capex / revenue (%)	6.8	7.0	7.0	6.5	6.2	6.5
NWC / revenue (%)	-9.7	-9.7	-9.7	-9.7	-9.7	-9.7
Revenue (DKKbn)	91,768	95,439	99,256	102,730	105,812	107,928
Operating profit, MPM (DKKbn)	14,683	15,652	16,576	17,259	17,776	18,132
NOPAT (DKKbn)	11,453	12,209	12,929	13,462	13,866	14,143
Net reinvestment (DKKbn)	1,065	1,171	1,218	793	548	982
FCFF (DKKbn)	10,387	11,038	11,711	12,669	13,318	13,161

Source: own forecast. Base year 2025: revenue DKK 89,095m, MPM operating margin 15.7%, D&A excluding PPA amortisation 5.4% of revenue, capex 6.3%, operating NWC -9.7%. Terminal-year check: net reinvestment / NOPAT = 6.9%, which with $g = 2.0\%$ implies RONIC = 28.8%.

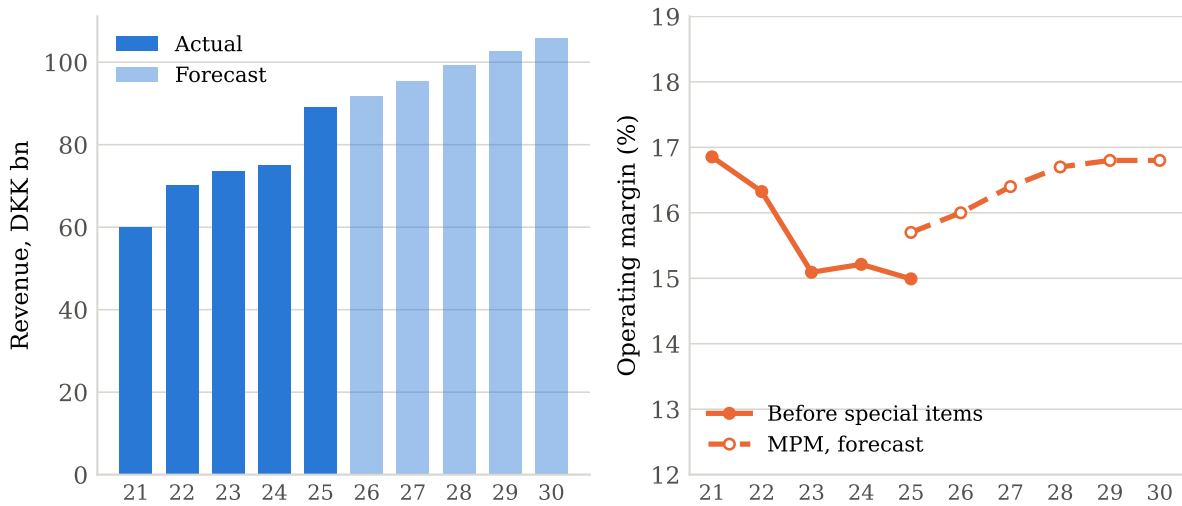


Figure 1: Revenue and operating margin, 2021–2025 actual and 2026E–2030E forecast. The 2025 margin is shown both before special items (15.0%) and on the MPM basis (15.7%) from which the forecast starts. Source: Carlsberg A/S (2026a); own forecast.

6.1 Revenue

We forecast 3.0% growth in 2026, consistent with organic growth of 2.7% in the first half and management’s assumption of no currency effect (Carlsberg A/S, 2026c), rising to 4.0% in 2027–2028 as the Kazakhstan Pepsi business and Indian capacity come on stream, and easing to 3.0% by 2030. This is at the lower end of Fitch’s “mid-single-digit” rating case (Fitch Ratings, 2026). We do not forecast segments separately in the model because the drivers we can observe – flat beer volumes, growth in soft drinks and alcohol-free – cut across regions; the segment margins in Table 1 inform the consolidated margin path.

6.2 Margins

The MPM margin starts at 15.7% and reaches 16.0% in 2026, which is what guidance of 4–6% operating-profit growth on 3% revenue growth implies. It then rises to 16.8% by 2029. The increase of 1.1 percentage points is slightly less than Fitch’s forecast of 1.3 points on its own EBITDA definition, and returns Carlsberg to the 16.3–16.9% it earned before Britvic. The sources are the remaining 70% of the GBP 110m synergy target (roughly DKK 0.7 billion, or 0.7 points of margin) and mix; we take no credit for pricing beyond inflation. This is a management-guided figure for 2026 and our own thereafter.

6.3 Invested capital, capex and working capital

Capital expenditure is 6.8–7.0% of revenue in 2026–2028, following Fitch’s 7% rating case and the disclosed expansion in India and Kazakhstan, then 6.2–6.5%. Depreciation excluding Britvic amortisation is held at 5.4% of revenue. Net working capital stays at –9.7% of revenue, so it contributes cash each year as revenue grows. Together these give net reinvestment of about DKK 1 billion a year, or 8% of NOPAT.

6.4 Terminal growth and steady state

Terminal growth is 2.0% nominal, the ECB’s inflation target (European Central Bank, 2021) with no real growth, which is deliberately below the roughly 3% that inflation plus euro-area real growth would allow. Beer volumes in Carlsberg’s mature markets are flat to declining, and we would rather under- than overstate the perpetuity. The terminal year reinvests 6.9% of NOPAT, which with $g = 2.0\%$ implies a RONIC of 28.8% by equation (3). That is close to Carlsberg’s ROIC excluding goodwill of 23–31% and is therefore internally consistent; a RONIC equal to WACC would require reinvesting 27% of NOPAT and would lower value by about DKK 280 per share. The terminal value is 79% of enterprise value, which is typical for a stable consumer business with a five-year horizon.

7 Cost of capital

The discount rate is 7.5% under Specification A and 7.2% under Specification B, and the single choice that moves it most is the equity beta: whether the hybrid is counted as leverage changes the beta from 1.03 to 0.95, and the beta’s own estimation error is worth several times as much again.

7.1 Risk-free rate

We use the ten-year German zero-coupon spot rate of 3.61% on 16 September 2026 (Deutsche Bundesbank, 2026). Three arguments support a euro rate for a company reporting in Danish kroner. First, the krone is pegged to the euro within a narrow band, so a euro rate is a Danish rate to within a few basis points. Second, we verified empirically that the choice is immaterial for the risk measure: Carlsberg’s beta is 0.84 whether returns are measured in DKK or EUR (Appendix B). Third, the Bund is the most liquid benchmark and carries no default premium

(Damodaran, 2026a). A ten-year tenor matches the duration of the cash flows; the six-month rate used in the beta regressions is a different object and is not the discount-rate input.

7.2 Market risk premium

Table 6: Market risk premium: triangulation

Method	MRP (%)	Source
Historical, Europe 1990–2026, arithmetic	6.34	French (2026); own calculation
Historical, Europe 1990–2026, geometric	4.98	French (2026); own calculation
Implied, mature markets, January 2026	4.23	Damodaran (2026a)
Survey, Danish practitioners	5.60	PwC Danmark (2025)
Recommended, Danish Tax Agency 2025	6.00	Skattestyrelsen (2025)
Survey, German companies 2025	6.70	KPMG AG Wirtschaftsprüfungsgesellschaft (2025)
Applied	5.80	

Historical figures are annualised means of the Kenneth French European market factor (monthly, USD), 433 months to July 2026.

The six sources in Table 6 span 4.2% to 6.7%. The two survey figures closest to Carlsberg’s investor base, Danish practitioners at 5.6% and the Danish Tax Agency’s 6.0%, sit inside the range spanned by the historical geometric and arithmetic means of the European market factor. We apply 5.8%, the median of the six, and test ± 1 point in Section 8.2. The same STOXX Europe 600 universe underlies the beta and the premium, which keeps the two consistent.

7.3 Beta under CAPM

Table 7: Beta estimates for Carlsberg B

Method	β_L	Notes
<i>Own regression, STOXX 600 total return, EUR, excess returns</i>		
Monthly, 5 years (raw)	0.84	robust se 0.21, R^2 0.21, $n = 61$
Weekly, 5 years	0.70	robust se 0.14, $n = 261$
Daily, 5 years	0.66	robust se 0.05, $n = 1,100$; attenuated
Daily, Dimson lead/lag	0.70	se 0.11; corrects non-synchronous trading
<i>Adjusted estimators</i>		
Blume (1971)	0.89	$\frac{2}{3}\beta + \frac{1}{3}$; rejected, see text
Vasicek (1973)	0.86	prior: 32 euro-area large caps, mean 0.92, sd 0.33
Selected	0.86	Vasicek-adjusted; 95% CI [0.42, 1.25]
<i>Memo: beverage peer median</i>	0.70	levered, at peers’ own gearing; $n = 8$

Source: own calculations; Deutsche Bundesbank (2026) and Yahoo Finance (2026). Risk-free rate: six-month German zero-coupon spot. Standard errors are heteroskedasticity-robust. The memo line is peer betas at peers’ own gearing, not a bottom-up estimate for Carlsberg. Regression output in Appendix B.

Table 7 reports our own estimates. The result depends more on return frequency than on window length: monthly data give 0.84, daily data 0.66, and a Dimson lead-lag correction recovers only part of the gap, so most of it is the intervalling effect rather than thin trading. We follow the standard recommendation and use monthly returns. The raw estimate has a standard error of 0.21, so it is not a point but a range; the Vasicek estimator, which weights Carlsberg’s own estimate at 0.71 and a peer prior of 0.92 at 0.29, gives 0.86. We reject Blume’s adjustment for the reason Damodaran gives – mechanical reversion to 1.0 discards industry information – while noting that Vasicek answers the same concern with a measured prior rather than an assumed one.

The rolling estimate in Figure 5 (Appendix B) shows beta drifting between 0.4 and 1.6 over fifteen years, but almost entirely within its own confidence band. We tested for a break at the completion of the Britvic acquisition: the Chow statistic is significant on monthly data, marginal on weekly, and insignificant on daily, and the sign flips with frequency, so we do not shorten the window on the strength of it. Instead the effect of Britvic’s debt enters through relevering: the 0.86 was estimated over a window in which NIBD averaged 0.28 of market capitalisation, so it unlevers to $\beta_U = 0.67$, and relevers at the valuation-date leverage of 0.53 (Spec A) or 0.42 (Spec B) to 1.03 or 0.95. That is the mechanism through which the contested parameter reaches the cost of equity.

7.4 Cost of equity under an alternative specification

Because the contested parameter is not the equity model, we keep this short. Against Kenneth French’s European market factor in USD, a different proxy and a different currency, Carlsberg’s five-year monthly beta is 0.91 (standard error 0.16), consistent with the 0.84–0.86 above. A multi-factor model would add size and value exposures, but with 61 monthly observations their premia cannot be estimated with useful precision for a single stock, and we do not pursue it further. The CAPM estimate is retained with its standard error carried into the sensitivity analysis.

7.5 Cost of debt

Carlsberg Breweries is rated BBB+ by Fitch and Baa1 by Moody’s. Damodaran’s January 2026 table gives 1.11% for BBB and 0.89% for A–; we interpolate 1.00% for BBB+, giving a pre-tax cost of senior debt of 4.61% and 3.60% after tax (Damodaran, 2026b). As a cross-check, Carlsberg’s February 2025 issues carried coupons of 3.25% (2032) and 3.50% (2035) when the ten-year Bund was near 2.4%, spreads of 85–110 basis points, and its 2025 net financial expense was about 4% of average debt. The hybrid’s cost is its coupon-weighted rate of 4.59%, about 100 basis points above the senior rate at issue, which is the subordination premium investors demanded. We assume the hybrid coupons are tax-deductible, as the thousand-year maturity is designed to secure, and return to that assumption in Section 9.

7.6 Capital structure weights

Market capitalisation is DKK 120.3 billion: 33.70 million A shares at DKK 1,070 and 98.47 million B shares at DKK 855.6. Senior NIBD at 30 June 2026 is DKK 50.1 billion, the reported DKK 56.8 billion less the DKK 6.7 billion of hybrid that management includes, and the hybrid is DKK 13.5 billion. Equity is thus 65% of capital, senior debt 27% and the hybrid 7%. Management targets NIBD/EBITDA below 2.5x, which would cut senior net debt to about DKK 40 billion. At that structure the WACC is unchanged at 7.5%, because the lower leverage reduces the equity beta by exactly as much as the higher equity weight raises the cost – the Modigliani–Miller offset – and value per share rises only through the lower debt in the bridge. We therefore use current weights.

7.7 Treatment of the hybrid: Specification A versus B

Table 8: Value per share across the hybrid classification continuum

Equity share of hybrid α (%)	β_L	r_E (%)	WACC (%)	Value/share (DKK)	vs. market (%)
0	1.03	9.56	7.50	1,175	+37.3
25	1.01	9.45	7.43	1,196	+39.8
50	0.99	9.34	7.35	1,218	+42.4
75	0.97	9.23	7.28	1,241	+45.1
100	0.95	9.12	7.21	1,265	+47.8

$\alpha = 0$ is Spec A, $\alpha = 1$ is Spec B. $\alpha = 0.5$ corresponds to the 50% equity credit applied by Moody's and Fitch (Fitch Ratings, 2026).

Table 8 traces the contested parameter from classification to value. Moving the hybrid from debt to equity lowers the relevering leverage from 0.53 to 0.42, the beta from 1.03 to 0.95, the cost of equity from 9.56% to 9.12% and the WACC from 7.50% to 7.21%. Nothing else changes: the hybrid's weight, its coupon and its deduction in the bridge are identical in every column. The value per share rises from DKK 1,175 to DKK 1,265, with management's own 50% treatment at DKK 1,218. The relation is close to linear in α (Figure 2), so the reader who disagrees with either pole can read off any intermediate view.

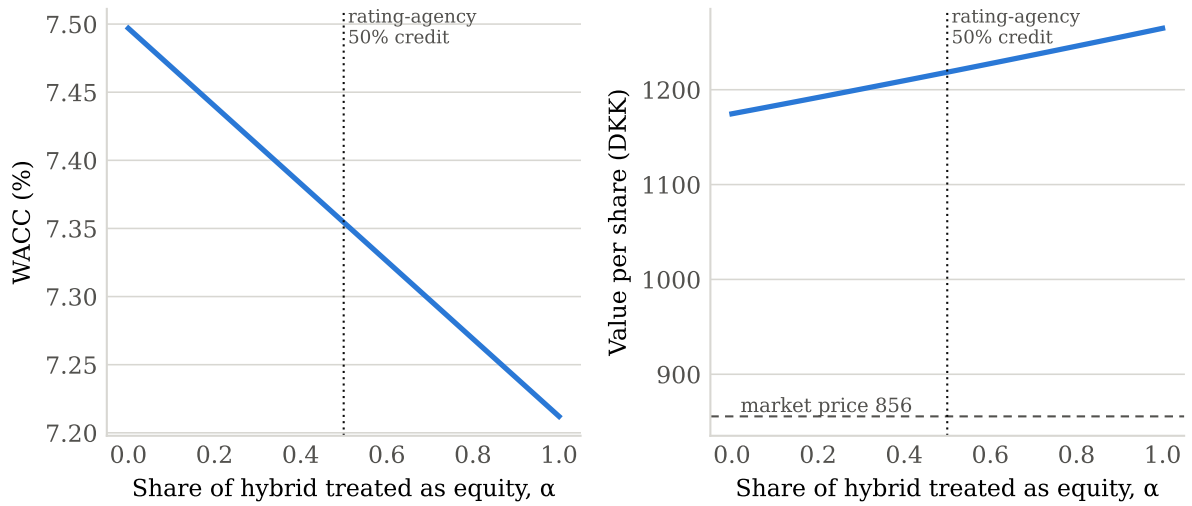


Figure 2: WACC and value per share as the share of the hybrid treated as equity, α , moves from 0 (Spec A) to 1 (Spec B). The dotted line marks the 50% equity credit applied by the rating agencies and by Carlsberg's own leverage metric. Source: own calculations.

It is worth being precise about why the classification matters at all, since under Modigliani–Miller the split of a fixed pool of capital should not change firm value. It matters here because the hybrid's cost is fixed by its coupon rather than by the CAPM. If instead the equity-classified portion were charged at r_E , the higher weight on expensive capital would offset the lower beta almost exactly and the two specifications would give the same value. The DKK 90 swing is therefore the value of the hybrid holders having accepted a subordinated coupon of 4.6% for a claim that, on the equity reading, does not add to shareholders' risk.

7.8 WACC build-up

Table 9: Cost of capital under the two treatments of the hybrid notes

	Spec A (hybrid = debt)	Spec B (hybrid = equity)
Risk-free rate (10y Bund)	3.61	3.61
Market risk premium	5.80	5.80
Unlevered beta β_U	0.67	0.67
Leverage for relevering, D/E	0.53	0.42
Levered beta β_L	1.03	0.95
Cost of equity r_E	9.56	9.12
Pre-tax cost of senior debt r_D	4.61	4.61
Cost of hybrid r_H (coupon)	4.59	4.59
Tax rate τ	22	22
Hybrid counted as leverage when relevering	Yes	No
Weight: ordinary equity E/V	65.4	65.4
Weight: senior net debt D/V	27.2	27.2
Weight: hybrid H/V	7.3	7.3
WACC	7.50	7.21

Market capitalisation DKK 120,312m (A shares at DKK 1,070, B shares at DKK 855.6, 16 September 2026); senior NIBD DKK 50,073m; hybrid DKK 13,452m (EUR 1.8bn at 7.4751). β_U unlevers the Vasicek-adjusted beta of 0.86 at the average NIBD/market cap over the estimation window (year-ends 2021–2025 and June 2026) of 0.28 (Harris–Pringle). The hybrid is priced at its coupon in both specifications; the only difference is whether it enters the leverage that relevers the equity beta.

Two rows differ between the columns of Table 9: the leverage used for relevering and, as its consequence, the levered beta and cost of equity. The 28 basis point difference in WACC is worth 8% of value per share because 79% of enterprise value sits in the terminal value, where the discount rate enters through $WACC - g$.

8 Valuation

8.1 DCF valuation

Table 10: Carlsberg A/S DCF valuation as of 16 September 2026

DKK million unless stated	Spec A	Spec B
WACC	7.50	7.21
PV of explicit-period FCFF (H2 2026–2030)	45,676	45,948
PV of terminal value	172,937	184,579
Enterprise value	218,613	230,527
TV share of EV (%)	79	80
Senior net interest-bearing debt	-50,073	-50,073
Hybrid notes	-13,452	-13,452
Net pension obligations	-1,297	-1,297
Non-controlling interests	-2,866	-2,866
Associates	4,325	4,325
Equity value, ordinary shares	155,250	167,164
Shares, A and B combined (m)	132.17	132.17
Value per share (DKK)	1,175	1,265
Market price, B share, 16 Sep 2026 (DKK)	855.6	855.6
Implied upside / (downside) (%)	+37.3	+47.8

Cash flows discounted from the 30 June 2026 balance sheet with a mid-year convention; the hybrid is deducted in both specifications because it ranks ahead of ordinary shares. Pensions, minorities and associates at book value. A and B shares carry identical dividend rights, so equity value is divided by all 132.17m shares.

Under Specification A, enterprise value is DKK 219 billion, of which DKK 46 billion is the present value of the explicit-period cash flows and DKK 173 billion the terminal value. From this we deduct senior net interest-bearing debt of DKK 50.1 billion, the hybrid of DKK 13.5 billion, net pension obligations of DKK 1.3 billion and non-controlling interests of DKK 2.9 billion, and add associates at DKK 4.3 billion. Leases are inside NIBD and are not deducted again; cash is netted in NIBD and not added again. The resulting equity value of DKK 155 billion is divided by all 132.17 million A and B shares, which carry the same dividend rights apart from a preferential DKK 1.60 on B shares that is too small to matter. The value is DKK 1,175 per share, 37% above the 16 September price; Specification B gives DKK 1,265.

8.2 Sensitivity analysis

Table 11: Value per share (DKK): WACC versus terminal growth, Spec A

WACC \ g	1.0	1.5	2.0	2.5	3.0
6.5	1,238	1,375	1,542	1,750	2,019
7.0	1,095	1,206	1,340	1,503	1,707
7.5	973	1,066	1,175	1,306	1,466
8.0	869	947	1,037	1,144	1,272
8.5	779	845	921	1,009	1,114

Centre cell is Spec A (WACC 7.5%, g 2.0%). Market price DKK 856.

Table 11 shows the usual two-way grid. A one-point move in WACC is worth about DKK 250 per share and a half-point move in g about DKK 120; the market price of DKK 856 corresponds roughly to the combination of 8.0% and 1.0%. Figure 3 ranks the one-way sensitivities.

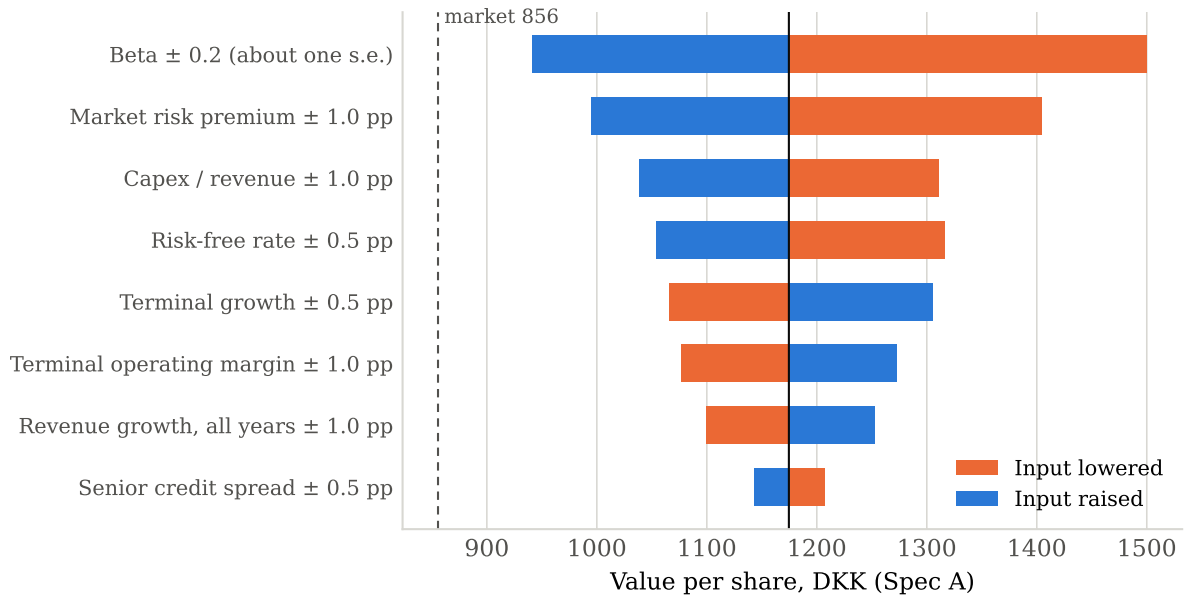


Figure 3: One-way sensitivity of value per share under Specification A. Each bar shows the value when one input is lowered or raised by the stated amount, all else equal. Source: own calculations; underlying figures in Appendix F.

The equity beta dominates: a shock of ± 0.2 , roughly one standard error, moves value by DKK 560 per share, or 48%. The market risk premium is second at DKK 410 for ± 1 point. The operating drivers – capex, terminal margin, revenue growth – each move value by DKK 150–270. The contested parameter’s swing of DKK 90 is therefore smaller than the estimation error in beta and the reasonable range of the premium, but larger than a one-point change in revenue growth. That ordering is the paper’s main analytical result: the classification of the hybrid is a genuine, mechanical source of valuation uncertainty, but the dominant one is how precisely systematic risk can be measured at all.

Table 12: Scenarios: what the market price requires

Scenario	WACC (%)	Value/share (DKK)	vs. market (%)
Base case (Spec A)	7.50	1,175	+37.3
No margin expansion: MPM margin held at 15.7%	7.50	1,062	+24.2
Flat margin and capex at 7% throughout	7.50	1,000	+16.9
Flat margin, capex 7%, revenue growth 2% p.a.	7.50	900	+5.2
Base case at the market-implied WACC	8.82	856	+0.0

Operating assumptions changed as stated; all other inputs as in Spec A.

Table 12 reads the market price backwards. At our discount rate the market price requires the operating margin never to recover, capital expenditure to stay at 7% of revenue indefinitely, and growth to fall to 2% at once – and even then the model gives DKK 900. At our operating forecast the market price requires a WACC of 8.8%, or a terminal growth rate close to zero. Either the market discounts Carlsberg’s cash flows at a rate about 130 basis points above what its rating, its beta and a mid-range premium justify, or it expects operating performance materially worse than management’s own guidance for 2026.

8.3 Cross-check: multiples

Table 13: Peer trading multiples, September 2026

Peer	EV/EBITDA (x)	P/E forward (x)	EV/Sales (x)	Net debt / equity
Royal Unibrew	8.8	11.0	1.67	0.34
Diageo	9.1	12.1	2.96	0.57
Coca-Cola HBC	9.5	15.3	1.39	0.09
Pernod Ricard	10.2	10.0	2.84	0.71
AB InBev	10.4	15.7	3.29	0.49
Danone	10.7	14.3	1.75	0.23
Heineken	10.7	12.4	2.01	0.45
Nestle	15.4	15.8	2.85	0.29
Peer median	10.3	13.3		
Carlsberg (market)	8.9	12.1	1.82	0.53

Source: Yahoo Finance, 18 September 2026; trailing EV/EBITDA, forward P/E on consensus EPS. Carlsberg’s net debt includes the hybrid.

Table 14: Implied value per share (DKK) from multiples, compared with the DCF

Method	Range applied	Low	Mid	High
EV/EBITDA, peer 25th–75th pct.	9.4x–10.7x	850	984	1,038
Forward P/E, peer 25th–75th pct.	11.8x–15.4x	754	855	985
DCF, Spec A / Spec B		1,175		1,265
Sell-side targets, low / mean / high	$n = 22$	784	1,047	1,470

EV/EBITDA applied to 2025 EBITDA of DKK 18,784m with the Table 10 bridge; P/E applied to 2026E adjusted EPS of DKK 64.0 (2025 MPM net profit grown at the guidance midpoint).

Carlsberg trades at 8.9x trailing EBITDA and 12.1x forward earnings, below every peer on the first measure and near the bottom on the second (Table 13). Applying the peer interquartile range gives DKK 850–1,038 on EV/EBITDA and DKK 754–985 on P/E (Table 14). The multiples thus confirm that the market prices Carlsberg at a discount to peers, but they imply a smaller discount than the DCF. Figure 4 puts the estimates side by side.

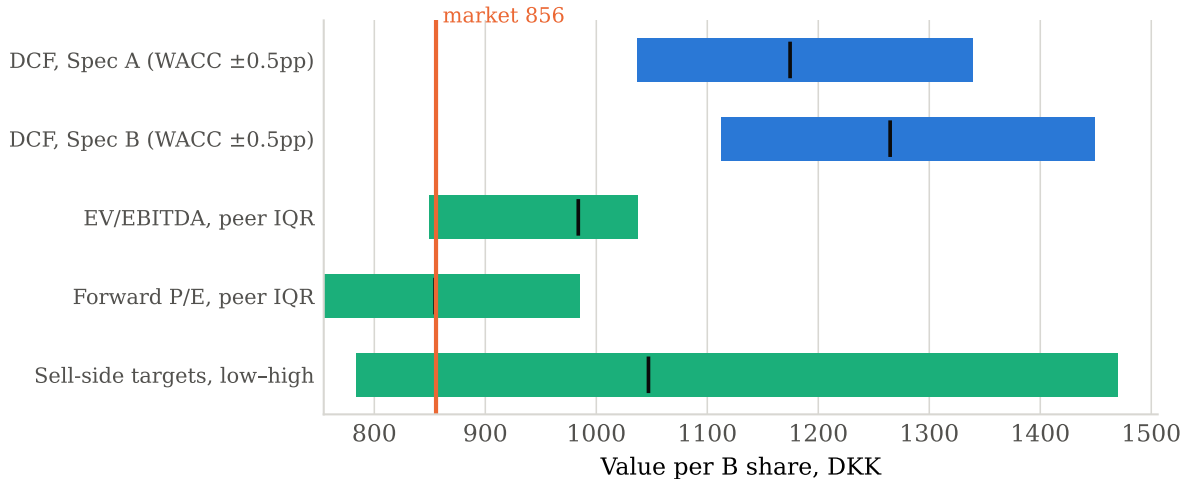


Figure 4: Value per share by method. DCF ranges show WACC ± 0.5 points; multiple ranges are the peer interquartile range; the sell-side range is the lowest to highest of 22 targets with the mean marked. Source: own calculations; MarketScreener (2026) and Yahoo Finance (2026).

The gap between the DCF and the multiples is a finding, not an error. A peer multiple embeds the peers' growth, margins and cost of capital. Carlsberg's ROIC excluding goodwill is above most peers', its leverage is higher, and its margin is temporarily depressed by Britvic; a trailing EBITDA multiple captures the last two and not the first. The DCF at the peer-median multiple of 10.3x corresponds to a WACC of about 8%, which is what the peers' own valuations imply the market demands for a levered brewer today.

8.4 Reconciliation with market and consensus

The 22 sell-side analysts covering Carlsberg have a mean target of DKK 1,047 with a range of DKK 784–1,470, and 17 rate the shares a buy (MarketScreener, 2026). Our Specification A value is 12% above the mean and inside the range. The difference is explained almost entirely by the

discount rate: at 8% WACC, roughly the sell-side norm for a BBB+ consumer company, our model gives DKK 1,040. The forecast itself is not more optimistic than consensus – it sits at the low end of management’s guidance for 2026 and below Fitch’s rating case thereafter.

9 Discussion

We defend Specification A. The hybrid’s coupon is fixed, its deferral is cumulative, and Fitch caps its equity credit at 50% precisely because cumulative deferral is “more debt-like in nature” (Fitch Ratings, 2026); the notes will almost certainly be refinanced at their first reset dates in 2031 and 2034 rather than left outstanding for a thousand years. An ordinary shareholder therefore faces a fixed, senior-ranking claim that amplifies business risk in the same way senior debt does. Specification B is the treatment IFRS prescribes for the balance sheet and it is not wrong as a description of the instrument’s legal form; it is wrong as a description of the risk borne by the shares we are valuing. The empirically plausible middle ground is management’s own 50%, which gives DKK 1,218. None of the three changes the investment conclusion: the shares look undervalued under every treatment.

Three limitations matter for the number, in order of their effect on value per share. First, the equity beta. Its standard error of 0.21 translates into a range of roughly DKK 940–1,500, wider than the whole Specification A–B swing, and the post-Britvic monthly estimate of 1.66 – too noisy to use, but not zero – hints that systematic risk may have risen more than our relevering captures. Second, the market risk premium, where the defensible range of 4.2–6.7% spans DKK 410 of value. Third, the constant-WACC assumption: leverage will fall toward 2.5x, and although the Modigliani–Miller offset makes the WACC itself insensitive to that, a time-varying discount rate or an adjusted-present-value treatment would be the more rigorous route. Two smaller points: we assume the hybrid coupons are tax-deductible, and losing that shield would cost about DKK 14 per share; and the Sapporo transaction, if it closes in December, will reduce debt by about DKK 4.2 billion while transferring 25% of the Southeast Asian cash flows to a minority partner, which we take to be value-neutral at a fair price but which will change the bridge.

The share price has moved little since the valuation date and we draw no inference from it. A subsequent move toward our estimate would not confirm the model, and a move away from it would not refute it; what would be evidence on the margin path and on where leverage settles.

10 Conclusion

Carlsberg A/S is worth DKK 1,175 per share on our anchor specification as of 16 September 2026, 37% above the market price of DKK 856, and DKK 1,265 if the hybrid notes are treated as equity rather than debt. The classification of the hybrid moves value by DKK 90 per share, or 8%, through one channel only: whether the notes add financial risk to the ordinary shares and hence raise the equity beta. That effect is real, it is larger than most operating assumptions, and it is smaller than the estimation error in the beta itself. The result is most exposed to that estimation error and to the market risk premium; it is robust to the treatment of the hybrid, to the choice of capital-structure weights, and to each operating driver taken alone. The market

price is consistent with our cash-flow forecast only at a cost of capital near 9%, or with our cost of capital only if Carlsberg's margin never recovers from Britvic.

Declaration on the use of generative AI

Anthropic's Claude was used throughout the preparation of this paper. It was used to retrieve and organise public data (price series, the annual and half-year reports, rating-agency publications, market multiples), to write and run the Python code that estimates beta, builds the valuation model and generates every table and figure, to structure the paper and to draft text for Sections 4–10 and the summary, which we have edited. All modelling choices, forecast assumptions and judgements about the contested parameter are our own and we have checked every number in the text against the model output. Where the tool's drafting is retained substantially unchanged it is cited as a source here.

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A Reformulated balance sheet items

Table 15: Invested capital and net interest-bearing debt, 31 December 2025 and 30 June 2026 (DKK million)

	31 Dec 2025	30 Jun 2026
<i>Invested capital</i>		
Invested capital, Carlsberg definition	104,097	–
of which goodwill	59,324	60,124
Invested capital excl. goodwill	44,773	–
Operating net working capital (receivables + inventories – payables)	–8,682	–
<i>Net interest-bearing debt</i>		
Issued bonds	64,908	–
Lease liabilities	2,913	2,973
Bank, commercial paper and other borrowings	2,802	–
Gross financial debt	70,623	60,112
Cash, deposits and securities	–9,585	–9,166
Other interest-bearing items, net	579	–
Net interest-bearing debt, excluding hybrid	61,617	50,073
50% of hybrid notes (management definition)	–	6,726
Net interest-bearing debt, reported	61,617	56,799
<i>Other claims in the bridge</i>		
Hybrid notes at issue (in equity under IFRS)	–	13,452
Net retirement benefit obligations	1,297	n/a
Non-controlling interests	2,872	2,866
Investments in associates	4,325	–

Source: Carlsberg A/S (2026a, pp. 15, 103, 138, 153, 161); Carlsberg A/S (2026c, pp. 12, 17, 34). Items not disclosed at the half-year are carried at year-end values in the model.

B Beta estimation

All regressions use excess total returns. Carlsberg B’s dividend-adjusted price in DKK is converted to EUR at the daily EURDKK rate; the market proxy is the dividend-adjusted price of the iShares STOXX Europe 600 UCITS ETF, whose daily returns have a correlation of 0.988 with the price index and a slope of 1.00, and which exceeds the price index by 2.2% a year, the dividend yield. STOXX does not publish a free total-return series. The risk-free rate is the six-month German zero-coupon spot rate, compounded to the return interval. The primary regression is $r_{i,t} - r_{f,t} = \alpha + \beta(r_{m,t} - r_{f,t}) + \varepsilon_t$ on 61 monthly observations to September 2026: $\hat{\beta} = 0.84$ (robust s.e. 0.21), $\hat{\alpha} = -7.7\%$ a year ($t = -0.82$), $R^2 = 0.21$. Converting returns to EUR rather than leaving them in DKK changes the estimate by less than 0.005. Leave-one-out re-estimation gives a range of 0.74–0.96. The Vasicek prior is the cross-section of 32 euro-area large caps estimated identically, mean 0.92, standard deviation 0.33 after removing average

sampling variance, giving a weight of 0.71 on Carlsberg's own estimate.

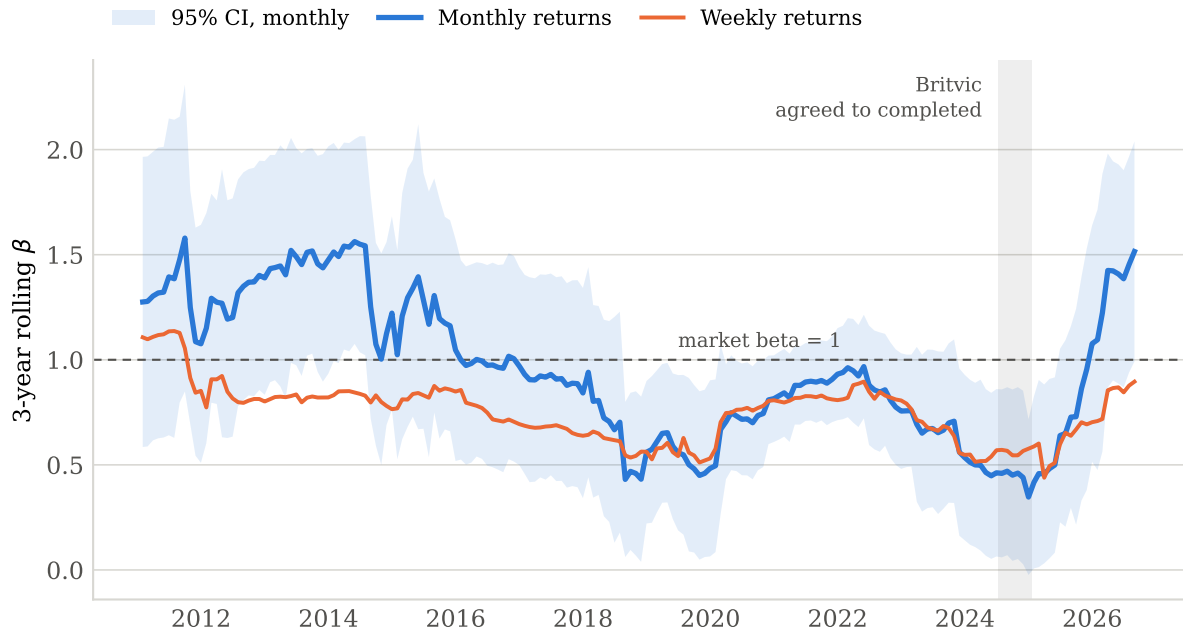


Figure 5: Three-year rolling CAPM beta for Carlsberg B, 2011–2026. Excess total returns against the STOXX Europe 600 total-return proxy (EUR). Band: 95% confidence interval on the monthly estimate. Grey column: Britvic agreement to completion. Source: own calculations.

Chow tests for a break at the completion of Britvic (16 January 2025) over a five-year window give a change in beta of +1.17 ($p = 0.006$) on monthly data, +0.45 ($p = 0.085$) on weekly data and -0.05 ($p = 0.55$) on daily data. Because the sign is not stable across frequencies we treat the evidence as inconclusive. A separate regression on the 21 post-completion months gives 1.66 (s.e. 0.30), while daily data over the same months give about 0.6.

Table 16: Levered betas of beverage and staples peers, five years of monthly returns to September 2026

Peer	Ticker	β_L	se	R^2
Royal Unibrew	RBREW.CO	0.36	0.30	0.03
Danone	BN.PA	0.38	0.15	0.07
Diageo	DGE.L	0.55	0.22	0.11
Nestlé	NESN.SW	0.69	0.13	0.24
Pernod Ricard	RI.PA	0.70	0.23	0.15
Heineken	HEIA.AS	0.84	0.21	0.22
Coca-Cola HBC	CCH.L	0.99	0.22	0.23
AB InBev	ABL.BR	1.00	0.19	0.30
Median		0.70		
Carlsberg B	CARL-B.CO	0.84	0.21	0.21

All returns converted to EUR and regressed on the same STOXX Europe 600 total-return proxy in excess of the six-month German spot rate, so the estimates are directly comparable. Carlsberg sits at the 62nd percentile of the set.

C Cost of debt and capital structure

Table 17: Carlsberg Breweries A/S outstanding bonds, September 2026

Principal	Coupon	Maturity	Rank
EUR 500m	0.375%	30 Jun 2027	Senior
EUR 700m	4.000%	5 Oct 2028	Senior
EUR 1,000m	3.000%	28 Aug 2029	Senior
EUR 400m	0.875%	1 Jul 2029	Senior
EUR 500m	0.625%	9 Mar 2030	Senior
EUR 1,000m	3.250%	28 Feb 2032	Senior
EUR 600m	4.250%	5 Oct 2033	Senior
EUR 1,150m	3.500%	28 Feb 2035	Senior
GBP 500m	5.500%	28 Feb 2039	Senior
EUR 1,000m	4.370%	18 May 3026, first reset 18 Aug 2031	Subordinated hybrid
EUR 800m	4.875%	18 May 3026, first reset 18 May 2034	Subordinated hybrid

Source: Carlsberg Breweries A/S (2026a). The EUR 850m floating-rate notes due 2027 and part of the 2027–2029 fixed-rate notes were repurchased in the May 2026 tender; the 3.50% notes due November 2026 were redeemed.

Fitch’s rating case assumes EBITDA net leverage falling from 3.6x at end-2025 to 3.0x at end-2026, an EBITDA margin (Fitch definition) of 19.8% in 2026 and 20.9% in 2027, capex of 7% of sales, dividends at about 50% of net income and share buybacks of DKK 13 billion over 2027–2029 (Fitch Ratings, 2026). Our forecast is consistent with the first three; we do not model the buybacks because they do not affect enterprise value.

D Forecast detail

Table 5 in the body contains the full driver set and the derived free cash flow by year. The mid-year discounting places the second half of 2026 at 0.25 years from the 30 June 2026 balance-sheet date, 2027 at 1.0 years, and so on, with the terminal value at 4.5 years. The 2.5-month gap between the balance-sheet date and the valuation date is immaterial (about 1% of value) and is not rolled forward.

E Peer multiples

Table 13 in the body lists the peer set and multiples; the same eight companies form the levered-beta comparison in Table 16. Nestlé, at 15.4x EBITDA, is included for completeness but sits outside the interquartile range used in Table 14.

F Additional sensitivities

Table 18: One-way sensitivities of value per share, Spec A

Input (shock)	Low (DKK)	High (DKK)	Swing (DKK)	Swing (% of value)
Beta $\pm$ 0.2 (about one s.e.)	1,500	942	558	48
Market risk premium $\pm$ 1.0 pp	1,404	995	409	35
Capex / revenue $\pm$ 1.0 pp	1,311	1,038	272	23
Risk-free rate $\pm$ 0.5 pp	1,316	1,054	262	22
Terminal growth $\pm$ 0.5 pp	1,066	1,306	240	20
Terminal operating margin $\pm$ 1.0 pp	1,077	1,273	196	17
Revenue growth, all years $\pm$ 1.0 pp	1,099	1,253	153	13
Senior credit spread $\pm$ 0.5 pp	1,207	1,143	64	5

Base value DKK 1175. Ranked by the swing in value per share. Beta shock applied to the unlevered beta so leverage effects are held fixed.

The reverse DCF solves for the discount rate at which Specification A reproduces the market price: 8.82%. Holding the WACC at 7.50% instead, the terminal growth rate that reproduces the market price is +0.23%.